Ticker: SKE CN	**SCPe cash:** C$82m	**Project**: Eskay Creek
Market cap: C$954m	**Price:** C$15.36/sh	**Country:** Canada, BC
RECOMMEND. (unc): BUY	*TARGET (up): C$19.50/sh*	*RISK RATING: HIGH*

This week's PFS shows a remarkable 450koz pa for Y1-5 at just US$548/oz AISC, including all penalties and concentrate deductions. Although this already takes LOM to 352koz pa LOM, we think the DFS could wrap in potential contributions from historic tails in Albino Lake (SCPe ~2Mt potential could see >350koz @ >5g/t) and other TMF sources like Tom Mackay, plus potential feed from Snip, for LOM approaching 400kozpa. This is before satellite drilling, given ~90% of drilling last year was infill, set to change to step out in the coming 12M. The key delta to PEA was (i) a substantial 34% lift in reserve, at an impressive 8% lift in grade post recent infill as 'feeders and buffer-zone' additions came in. Next, (ii) our estimated net revenue / gross revenue covering transport, payability, treatment charges and penalties lifted from 74% to 76% as circuit improvements ~doubled concentrate grades to ~60g/t AuEq. This combined with improved grades for a very good 29% drop in AISC. These two aspects offset (iii) a large increase in capex from C$303m to C$488m, partially driven by the lift from 2.5Mtpa to 2.7-2.9Mtpa, but lifting across the board. The improved ounces, grade and payability more than offsets the increased capex, with our $NPV_{5\%\text{-}1850\text{-}24}$ lifting from C$1.4bn to C$1.8bn. ***We maintain our 0.8xNAV multiple and lift our PT from C$17.20 to C$19.50*** *as our NAV lifts from C$1.4bn to C$1.8bn, but our fully-funded fully-diluted share count lifts from 77m to 84m given the higher capex. This is based on 65% gearing, although given flexibility on anything from exploration spend to divestments and alternative financing such as silver streaming, this is only an approximation for now. Looking forward, the critical catalyst here is drilling / DFS, working hand in hand to target LOM production approaching 400koz pa AuEq. Permitting could be a material catalyst also as Skeena has truly partnered with the Tahltan to the benefit of all parties.*

Table 1. Skeena's Eskay Creek new PFS vs old PEA inputs and economics

Eskay Creek (100%)	4Q19 PEA	PFS	Δ%
Mining inventory (000t)	21.3	26.4	24%
AuEq grade (g/t)	4.2	4.6	10%
Ag % of revenue (%)	*20%*	*34%*	70%
Mining inventory AuEq (000oz)	2,857	3,880	36%
Strip ratio (x)	7.2	8.0	11%
Au recovery (%)	91.1%	84.2%	-8%
Ag recovery (%)	92.4%	87.3%	-6%
LOM throughput (Mtpa)	2,367	2,696	14%
Production AuEq Y1-5 (000oz pa)	369	450	22%
Production AuEq LOM (000oz pa)	296	352	19%

Eskay Creek (100%)	4Q19 PEA	PFS	Δ%
LOM C1 costs (US$/oz AuEq)*	731	509	-30%
LOM AISC (US$/oz AuEq)*	757	548	-28%
Net / gross revenue (%)	67%	-	-
Total build capex (C$m)	303	488	61%
Total sustaining capex (C$m)	79	139	76%
Gold price (US$/oz)	1,325	1,550	17%
Silver price (US$/oz)	16.0	22.0	38%
Project NPV post-tax (C$m)	**638***	**1,399**	119%
IRR post-tax (%)	51%	56%	11%
Payback (years)	1.20	1.40	17%

*Source: SCPe, *Mine costs, and all concentrate costs included (transp., penalt., TC/RC etc)*

Source: Skeena

PFS shows 450koz pa Y1-5 for ~C$1.8bn NPV at spot, DFS coming quickly

Yesterday's PFS for Eskay Creek shows a 2.7-2.9Mtpa operation, with reserves of 3.9Moz @ 4.6g/t AuEq support a LOM 352koz pa production profile at US$548/oz AISC. Capex of C$488m drives a C$1.4bn post-tax NPV with 56% IRR and 1.4 year payback, both at US$1,550/oz Au and US$22/oz Ag. At US$1,825/oz Au and US$25/oz Ag this lifts to ~C$1.81bn over 10 years for LOM 3.5Moz. Early years see improved grades, with 450koz pa in Y1-5; Skeena is seeking reserve increases to extend the higher production rate. Key deltas to the PEA are improved concentrate grades driving higher payability and offsetting a drop in recovery. Permitting is assisted by globally leading 0.18t CO_2e / AuEq ounce, and will seek to improve this with a shift to a full-electric fleet in the DFS.

Valuation: SCPe $NPV_{5\%-1850-24}$ lifts from C$1.4bn to C$1.8bn

We match the PEA showing similar AISC and NPV as that at US$1,550/oz Au and US$22/oz Ag. From there, we simply lift the commodity price assumptions to our flat-forward US$1,850/oz Au and US$24/oz Ag (Table 2). While some metrics such as transport and penalties were disclosed, we estimated others such as TC / RC by matching published AISC. We see three key changes; (i) a substantial 34% lift in reserve, at impressive 8% lift in grade post recent infill with only an 11% lift in strip, a fantastic result for the geology team, reflecting 'feeders and buffer-zone' additions post-acquisition from ABX, and with infill. Next, (ii) our estimated net revenue / gross revenue, a catch-all for everything from transport and moisture to payability and penalties, has lifted from 74% to 76%. We see this as a result of two aspects – a higher concentrate grade after desliming and soft-mineral floatation near-doubled concentrate grades to 60g/t AuEq. Combined with the improved grades saw an impressive 29% drop in AISC. These two aspects offset (iii) a large increase in capex from C$303m to C$488m. While partially driven by the lift from 2.5Mtpa to 2.7-2.9Mtpa, other increases came from indirects (+$41m), processing plant (+$40m), pre-strip (+$26m), power (+$16m), and contingency (+$13m). Fortunately, **the improved ounces, grade and payability more than offsets the increased capex, with our $NPV_{5\%-1850-24}$ at build start lifting from C$1.4bn to C$1.8bn**

Table 2. SCP old and new inputs and economics

Eskay Creek (100%)	SCP old	SCP new	Δ%
Mining inventory (000t)	21.3	26.4	24%
AuEq grade (g/t)	4.2	4.6	8%
Ag % of revenue (%)	*17%*	*21%*	26%
Mining inventory AuEq (000oz)	2,903	3,898	34%
Strip ratio (x)	7.2	8.0	11%
Au recovery (%)	91.1%	84.2%	-8%
Ag recovery (%)	92.4%	87.3%	-6%
LOM throughput (Mtpa)	2,367	2,642	12%
Production AuEq Y1-5 (000oz pa)	370	431	17%
Production AuEq LOM (000oz pa)	297	331	12%

Eskay Creek (100%)	SCP old	SCP new	Δ%
LOM C1 costs (US$/oz AuEq)*	757	524	-31%
LOM AISC (US$/oz AuEq)*	796	565	-29%
Net / gross revenue (%)	74%	76%	3%
Total build capex (C$m)	303	488	61%
Total sustaining capex (C$m)	79	139	75%
Gold price (US$/oz)	1,850	1,850	0%
Silver price (US$/oz)	24.0	24.0	0%
Project NPV post-tax (C$m)	**1,444**	**1,761**	22%
IRR post-tax (%)	82%	57%	-31%
Payback (years)	0.50	0.75	50%

*Source: SCPe, *Mine costs, and all concentrate costs included (transp., penalt., TC/RC etc)*

Recommendation: maintain BUY rating, lift PT from C$17.20 to C$19.50

Offsetting the increased NPV above is, of course, the requirement for increased funding. We show a rough estimate of sources and uses below based on simplistic 65% gearing of PP&E (ie ~50% of package) - this must of course be considered roughly given the flexibility on anything from exploration spend to divestments and alternative financing sources, of which silver streaming could be a materially accretive opportunity in our view. This takes our fully-funded fully-diluted share count from current ~70m FD to 84.5m, up from 76.6m previously given the increased capex. This takes our 2Y forward NAV (net of G&A, finance costs) to C$2.068bn or C$24.4/sh. We maintain our 0.8xNAV, and lift our PT to C$19.50. The critical catalyst here is drilling / DFS, working hand in hand. In short, we expect to see a DFS with expanded ounces / 450koz pa production profile, with potential expanded throughput to hone in on LOM 400koz pa, which, in short, should have a larger NPV than currently. This process should firm up off-take contracts to further derisk that less transparent (for equity investors) process. Finally, permitting could be a major win as well; most investors put BC in the penalty box on long time frames for this, but Skeena has truly partnered with the Tahltan, which we think could see an accelerated time frame to come as soon as next year.

Table 3 (A) SOTP valuation and (B) sources and uses

SOTP *project* valuation*	C$m	O/ship	NAVx	C$/sh
Ungeared proj. @ build start (2Q22)	1,717	100%	1.00x	24.41
Cash 1Q21 + raise	82	100%	1.00x	1.17
Cash from options	38	100%	1.00x	0.54
Eskay Ck resources ex reserve @US$50/oz	88	100%	1.00x	1.24
Snip (US$75/oz)	61	100%	1.00x	0.87
Asset NAV5% C$1850/oz	1,986			28.2
Shares diluted for options but not mine build	Market P/NAV5% 1Q21			0.57x

Funding: uses	
PFS capex	C$448m
SCPe G&A to 1st Au + ABX $	C$28m
SCPe pre-production expl'n	C$65m
SCPe finance costs + wkg cap	C$57m
Total uses	C$598m
**Cash from options expiring pre first pour*	

Funding: sources	
2Q21 cash + options*	C$74m
Mine debt @ 65% gearing	C$291m
Mine build equity at 0.6xNAV	C$235m
Total proceeds	C$600m
Buffer	*C$3m*

Why we like Skeena Resources

- Large high-grade open pit with SCPe >400koz pa upside in CY22 DFS
- Shift in market dynamics allows concentrate sales with lower penalties than historic
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with the drilling of TMF, satellites and SNIP

Catalysts

- 2H21: Snip, and regional drilling
- 2H21: Permitting update
- 1H22: BFS including expanded resource

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Ticker: SKE CN	**Price / mkt cap:**	C$15.36/sh, C$954m	**Project PNAV today:**	0.65x	**Asset:** Eskay Creek / Snip
Author: B Salier/ B Gaspar	**Rec / 0.8xNAV PT:**	BUY, C$19.5/sh	**1xNAV$_{1Q21}$ FF FD:**	C$23.61/sh	**Country:** Canada: BC

Commodity price	**CY18A**	**CY19A**	**CY20A**	**CY21E**	**CY22E**
Gold price	1,850	1,850	1,850	1,850	1,850
SOTP *project* valuation*					
	C$m	**O/ship**	**NAVx**	**C$/sh**	
Ungeared proj. @ build start (2Q22)	1,717	100%	1.00x	24.41	
Cash 1Q21 + raise	82	100%	1.00x	1.17	
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Snip (US$75/oz)	61	100%	1.00x	0.87	
Asset NAV5% C$1850/oz	1,986			28.2	
**Shares diluted for options but not mine build*		Market P/NAV5% 1Q21		0.57x	

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	1,504	1,584	1,695	1,805	1,915
7.5% discount	1,678	1,770	1,892	2,015	2,137
5.0% discount	1,882	**1,986**	2,123	2,260	2,396
Ungeared project IRR:	64%	65%	68%	71%	75%
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
3.7g/t AuEq	1,552	1,677	1,801	1,893	2,016
4.1g/t AuEq	1,882	**1,986**	2,123	2,260	2,396
4.5g/t AuEq	2,176	2,327	2,477	2,627	2,777
NPV5 (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	1,552	1,677	1,801	1,893	2,016
Payability: 75%	1,882	**1,986**	2,123	2,260	2,396
Payability: 82%	2,176	2,327	2,477	2,627	2,777

**Project level NPV, excl finance costs and central SGA, discounted to build start*

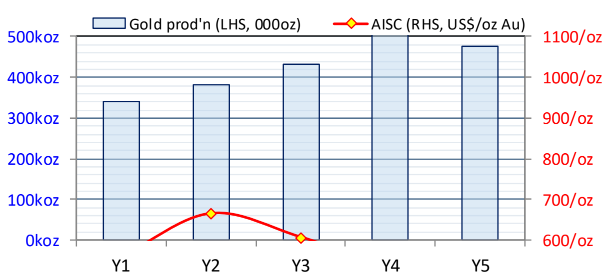
***Group* valuation over time^**	**3Q21**	**3Q22**	**3Q23**	**3Q24**	**3Q25**
Eskay Creek (C$m)	1,671	1,868	2,236	2,292	2,063
Net cash prior qtr (C$m)	82	141	(133)	(108)	191
G&A and finance costs (C$m)	(192)	(145)	(135)	(114)	(87)
Cash from options (C$m)	38	38	38	38	38
Snip	61	61	61	61	61
NAV FF FD (C$m)	1,661	1,964	2,068	2,169	2,266
1xNAV5%/sh FF FD (C$/sh)	**23.61^**	**27.92^**	**24.37***	**25.56***	**26.71***
Equity ROI from spot (% pa)		82%	36%	29%	25%

Geared company NAV diluted for mine build, net G&A and finance costs					
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	18.85	20.07	21.78	23.49	25.21
7.5% discount	20.73	22.08	23.93	25.77	27.63
5.0% discount	22.86	**24.37**	26.37	28.37	30.38
Geared project IRR:	58%	59%	62%	66%	69%
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	18.00	19.80	21.58	22.90	24.70
Payability: 75%	22.86	**24.37**	26.37	28.37	30.38
Payability: 82%	27.24	29.44	31.66	33.87	36.09

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**
Gold production (000oz)	341	382	431	527	477
C1 cost (US$/oz)	510	617	565	504	510
AISC cost (US$/oz)	558	665	608	539	548

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024



Source: SCP estimates

Resource / Reserve	**AuEq (koz)**	**AuEq (g/t)**
Pittable resource	5425koz	4.17g/t
Underground resource	224koz	5.41g/t
Snip	646koz	13.60g/t

Funding: uses		**Funding: sources**	
PFS capex	C$448m	2Q21 cash + options*	C$74m
SCPe G&A to 1st Au + ABX $	C$28m	Mine debt @ 65% gearing	C$291m
SCPe pre-production expl'n	C$65m	Mine build equity at 0.6xNAV	C$235m
SCPe finance costs + wkg cap	C$57m	Total proceeds	C$600m
Total uses	C$598m	*Buffer*	*C$3m*

**Cash from options expiring pre first pour*

Share data			
Basic shares (m)	62.1	FD with build equity raise	84.9
FD with options (m)	70.3		

Ratio analysis	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Average shares out (m)	137.3	150.7	152.6	152.6	152.6
EPS (C$/sh)	-	-	-	2.14	1.74
CFPS (C$/sh)	-	-	-	2.04	2.04
EV (C$m)	2,087.1	2,311.2	2,619.2	2,343.8	2,343.8
FCF yield (%)	-	-	-	13%	13%
PER (x)	-	-	-	7.2x	8.8x
P/CF (x)	-	-	-	7.5x	7.5x
EV/EBITDA (x)	-	-	-	4.9x	4.6x
Income statement	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Net revenue (C$m)	-	-	-	667.6	748.3
Gross profit (C$m)	**-**	**-**	**-**	**502.4**	**531.7**
D&A, attrib (C$m)	0.1	-	-	54.2	62.4
Admin (C$m)	12.2	12.2	12.2	12.2	12.2
Expensed exploration (C$m)	79.2	15.0	-	-	-
Finance cost (C$m)	(0.1)	-	(4.6)	23.1	17.5
Royalty (C$m)	-	-	-	12.2	13.7
Forex, other (C$m)	(2.4)	-	-	-	-
Taxes (C$m)	-	-	-	74.8	160.3
Net income (C$m)	**(89.1)**	**(27.2)**	**(7.6)**	**326.0**	**265.7**
Cash flow, attrib.	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
EBIT (C$m)	(89.2)	(27.2)	(12.2)	423.8	443.4
Add back D&A (C$m)	0.1	-	-	54.2	62.4
Less tax + net interest (C$m)	(0.1)	-	(4.6)	97.8	177.7
Net change in wkg cap (C$m)	(1.1)	-	-	(59.4)	(6.3)
Add back other non-cash (C$m)	1.6	3.0	3.0	3.0	3.0
Cash flow ops (C$m)	**(88.5)**	**(24.2)**	**(4.6)**	**323.8**	**324.8**
PP&E - build + sust. (C$m)	(1.4)	(229.3)	(258.7)	(12.6)	(14.0)
PP&E - expl'n (C$m)	-	-	(15.3)	-	-
Cash flow inv. (C$m)	**(1.4)**	**(229.3)**	**(274.0)**	**(12.6)**	**(14.0)**
Share issue (C$m)	72.8	235.0	-	-	-
Proceeds from sale (C$m)	5.0	-	-	-	-
Debt draw (repay) (C$m)	-	97.1	194.1	-	(97.1)
Cash flow fin. (C$m)	**77.8**	**332.1**	**194.1**	**-**	**(97.1)**
Net change in cash (C$m)	(12.1)	78.5	(84.5)	311.2	213.7
EBITDA (C$m)	(89.0)	(27.2)	(12.2)	478.0	505.8
Balance sheet	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Cash (C$m)	25.8	104.3	19.8	331.0	544.7
Acc rec., inv, prepaid (C$m)	6.4	6.4	6.4	54.2	64.3
PP&E + other (C$m)	96.5	325.8	599.8	558.3	509.9
Total assets (C$m)	**128.8**	**436.6**	**626.1**	**943.5**	**1,118.9**
Debt (C$m)	4.1	101.2	295.3	295.3	198.2
Accounts payable (C$m)	21.5	21.5	21.5	9.9	13.7
Others (C$m)	8.1	8.1	8.1	8.1	8.1
Total liabilities (C$m)	33.7	130.8	324.9	313.4	220.1
Sh'hlds equity + wrnts (C$m)	256.1	494.1	497.1	500.1	503.1
Retained earn'gs + rsvs (C$m)	(215.7)	(242.9)	(250.5)	75.5	341.1
Liabilities + equity (C$m)	**74.1**	**382.0**	**571.5**	**888.9**	**1,064.3**

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TENDER: The analyst recommends tendering shares to a formal tender offering

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NOT RATED ((N/R): The stock is not currently rated

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Summary of recommendations as of July 2021	
BUY:	44
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	44

[1] As at the end of the month immediately preceding the date of issuance of the research report or the end of the second most recent month if the issue date is less than 10 calendar days after the end of the most recent month